Case Assignment: Vestel Electronics and Leitax

Sales and Operations Planning (S&OP) is the process through which companies align demand, supply, and financial planning across functions. It has always been an important management process, and it is becoming even more important given the current pace of development in supply chain software solutions, including AI-based forecasting and decision-support tools.

For this session, please prepare the following two readings. Both are several years old but remain highly relevant, and will serve as a starting point for our discussion. After working through the questions below for each case, we will discuss how these managerial challenges have evolved since the cases were written, and how they are likely to develop further given the rapid advances in AI.

> *Taşkın, Z. C., Ağralı, S., Ünal, A. T., Belada, V., & Gökten-Yılmaz, F. (2015). Mathematical Programming-Based Sales and Operations Planning at Vestel Electronics. Interfaces, 45(4), 325–340.*
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> *Watson, N., & Oliva, R. (2005, rev. 2007). Leitax (A). Harvard Business School Case 9-606-002.*

Part A: Vestel Electronics

Please read the paper and be prepared to discuss the following questions:

1. Identify the key reasons for Vestel to develop and implement the new DSS to support their S&OP process. What were the main objectives of the project?
2. In an ideal world, how would you envision the usage of the DSS to support Vestel's S&OP process?
    a. How should the DSS best be integrated into the S&OP process?
    b. How could the S&OP process and the S&OP meetings potentially be changed with the new DSS?
    c. What are the key pieces of information that participants of the S&OP meetings should receive and deal with?
3. What are the organizational challenges of implementing S&OP and Vestel's system (at Vestel or in other companies)?
4. Imagine you want to implement a similar system in your or another company. What are the main reasons for why this could fail?
5. Vestel developed their solution some years ago. How do you envision such a solution today? Which managerial challenges were remedied through technological advancements, and which still persist? Carry out your own research.

Part B: Leitax

This case describes the issues that a company faced in integrating demand and supply planning in a coherent way. The case is rather old but highlights problems that, even today, persist in many companies, despite technological advances in the last two decades. I want to use this case to discuss with you the challenges, in the past and today, how organizations should respond to these challenges, and how new technologies may or may not help to overcome them.

Please first address the "old" questions that were originally developed by the case authors:

1. Based on the description of the planning system before the redesign project, which function or individuals should be held responsible for the planning problems in FY2002? In FY2004?
2. Assess the consensus forecasting process used at Leitax.
3. Based on the description in the text and the evidence in Exhibits 6 and 9, what went wrong with the SF6000 forecast?
4. What are the core elements of the CFP that Fowler and McMillan should strive to maintain?
5. How, if at all, would you recommend the process to be improved?

In a second step, please research how new technologies (in forecasting, in integrated S&OP, and, of course, in AI) have changed or will change the relevance of the aforementioned managerial challenges.

Please be prepared to discuss this in class.

Class Discussion

Across both cases, be prepared to discuss the biggest opportunities and risks of applying today's AI and supply chain software capabilities to S&OP processes like those at Vestel and Leitax, and where you expect human judgment to remain essential.